CONSTELLATION
ASSET MANAGEMENT

ARGOS CAPITAL

Constellation Challenge 2023



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AREZZO &CO

The state of fashion to get back on track

The **pandemic** had a heterogenous impact on the fashion industry, as consumers **switched high end** and **social** products to more **casual** and **comfortable** options. But with the come back to fully **presential activities,** the need to renovate will create several **growth avenues**.

Value Chain

Consisting in mainly leather, cotton and synthetic materials, the cost is influenced by commodities prices

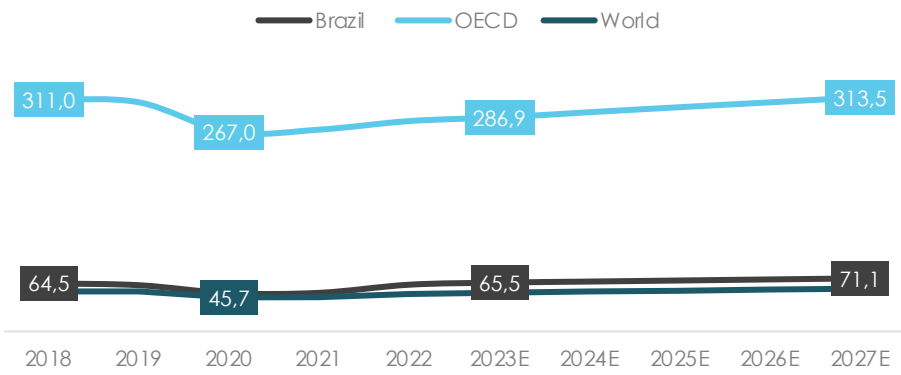
Manufacturing and design have the highest aggregated value, with a high presence of outsourced production

Selling is distributed within franchises, owned stores and wholesalers. Each has its own specific advantages.

The **value** in the fashion industry is linked to the **design** and **brand power.** The other chain segments are more fragmented

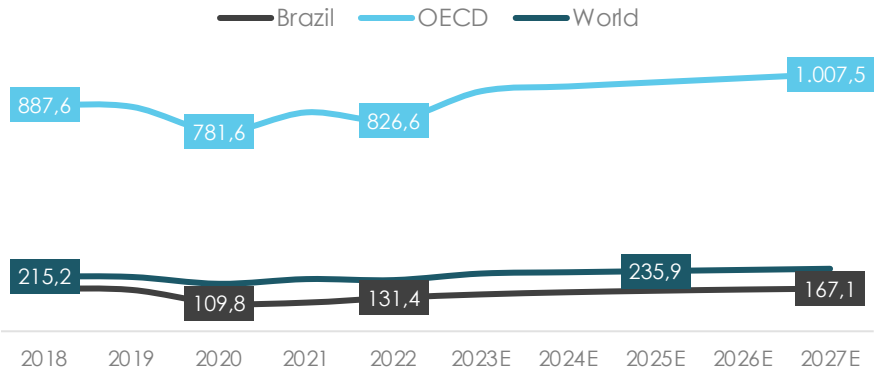
Brazil's **footwear market is more mature** than the world's average, but still **way below developed countries**.

Footwear Revenue Per capita (USD)



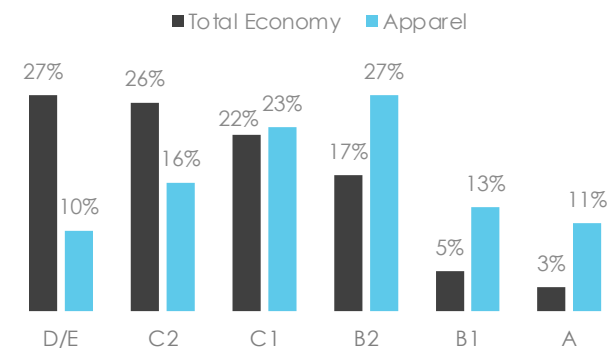
The **apparel market** has **not fully recovered** from the **pandemic**, but Brazil is set to **narrow the gap** with the rest of the world.

Apparel Revenue Per capita (USD)

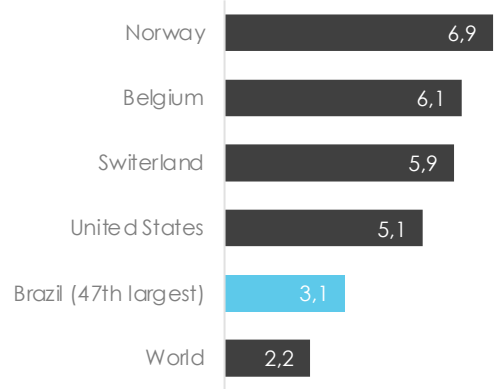


Brazil's fashion market is very **clustered**, as A/B consumers represent around **25% of the population but over 50% of the expenditure**. Thus, with a very **unequal consumption**, Brazil struggles to reach developed countries' **volume and average ticket**.

Total expenditure by Income Cluster (%)



Pair of shoes bought per year



Major differences in Brazil

1- Tax complexity act as a barrier to international players

2- Large informal share on the apparel market, especially in lower income clusters

3- Big participation of third part sellers and franchisees in premium segments

Sources: Abicalçados, Statista, Company Data, IPC maps

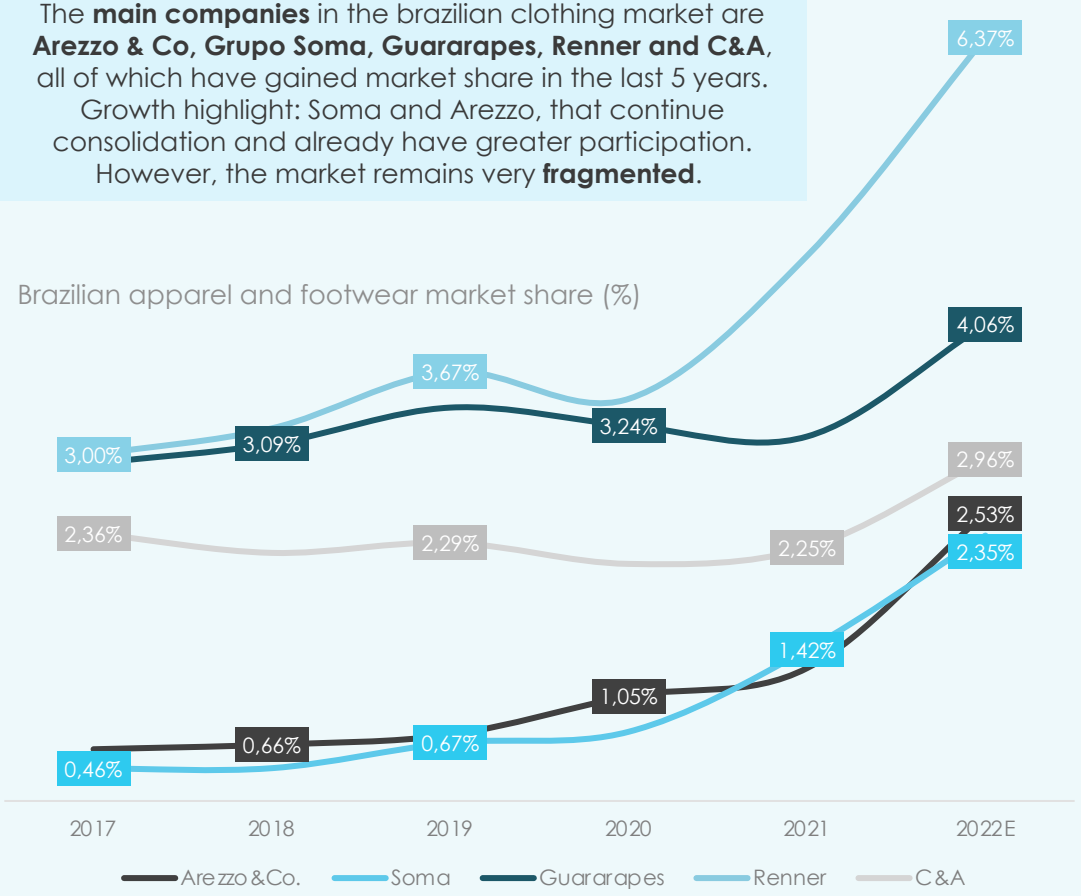
Market share and consolidation in fragmented markets

The aparell sector in Brazil is **very fragmented**, although some large brands have huge relevance in the market. Brands have invested in inorganic growth for greater consolidation via **M&As to expand in different markets** within the sector.

The brazilian clothing sector is extremely **fragmented**, however **5 companies stand out** within the population and in the market.

The **main companies** in the brazilian clothing market are **Arezzo & Co, Grupo Soma, Guararapes, Renner and C&A**, all of which have gained market share in the last 5 years. Growth highlight: Soma and Arezzo, that continue consolidation and already have greater participation. However, the market remains very **fragmented**.

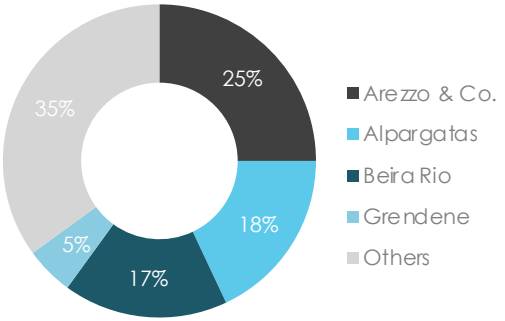
Brazilian apparel and footwear market share (%)



The **footwear** market is even **more concentrated** on the hands of Arezzo & Co and Alpargatas.

Arezzo & Co.has 25% of the market, followed by **Alpargatas** and Beira Rio. However, 35% is still concentrated on the hands of **small businesses**.

Market share women's footwear (%)



Companies have increased their **consolidation** in the general retail sector via **inorganic growth**, especially after the pandemic.

Arezzo & Co and Grupo Soma have acquired multiple brands via strategic **M&As** to **expand within and to markets**.

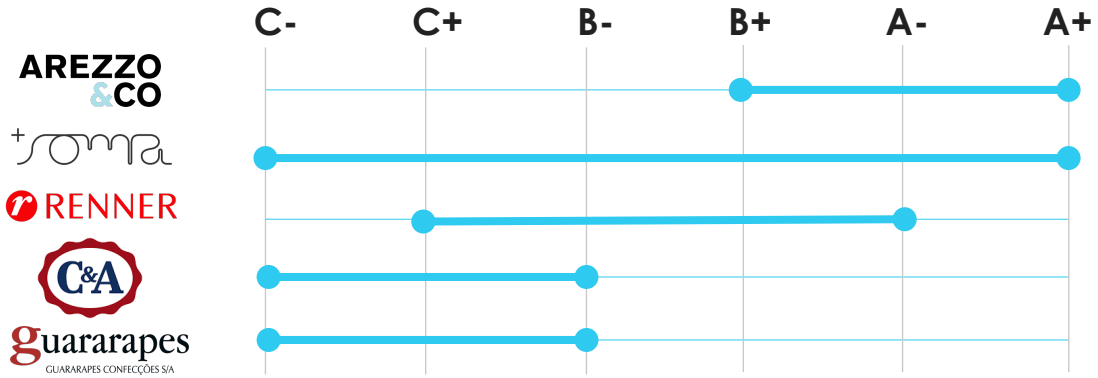
Sources: Companies, Statista

The details that put some ahead

Times of **economic stress** and little consumption highlight the importance of a **solid pricing power**, highly influenced by consumers' **social class** and brands'**channel mix** that brings strongly needed variety.

The classification of brazilian companies' **target customers** shows that Arezzo & Co. predominates in the higher class markets.

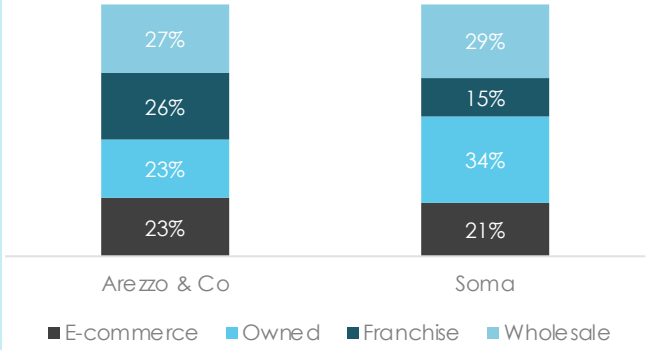
Classification of customers per player



Also, a **diversified channel mix** with exposition abroad and different sale routes highlight Arezzo & Co once again, and Grupo Soma.

Arezzo&Co and Soma are the only two among the 5 main competitors that have **sales abroad**. Soma has 8% and Arezzo&Co has 11% of sales outside Brazil.
These are also the only two with sale channels other than e-commerce and owned stores, which **diversifies revenue** and makes them more **resilient** in crises.

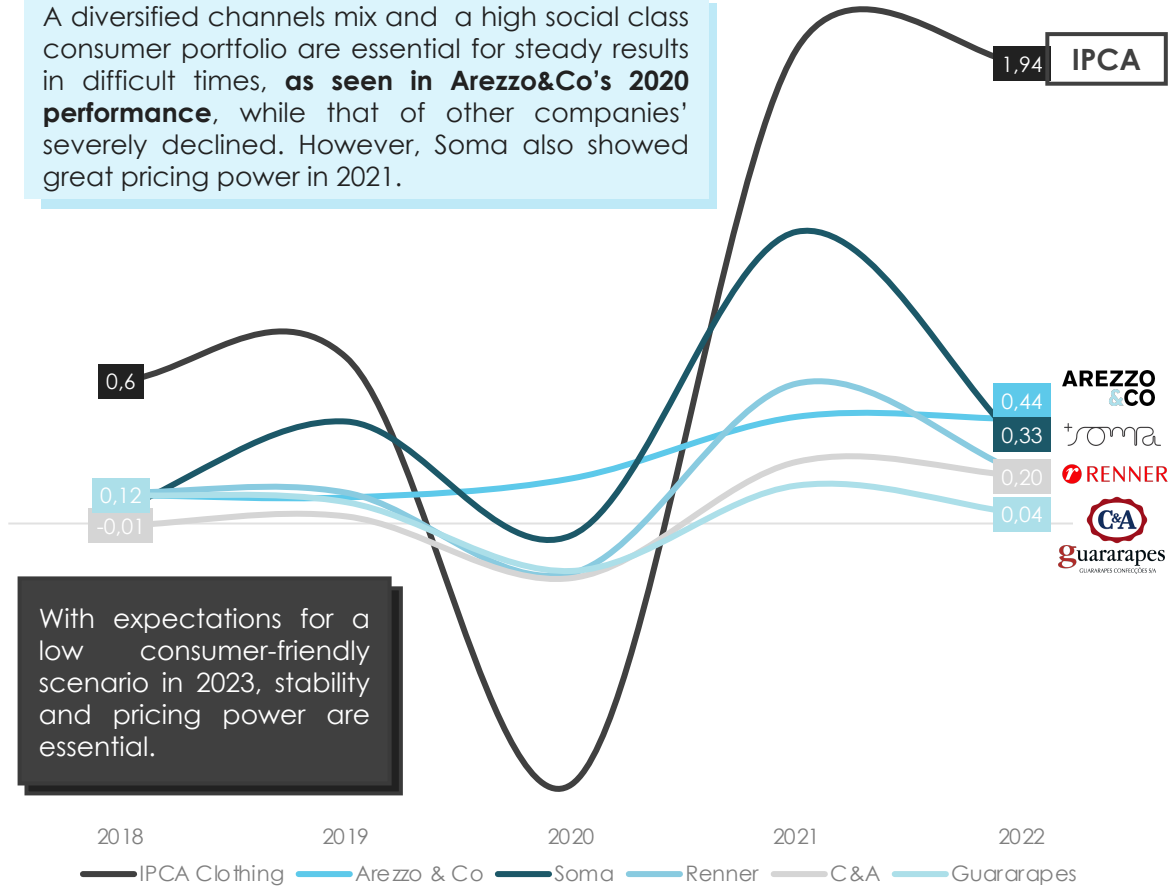
Sales channel representation in total revenue (%)



Both higher class adhesion and diversified channels mix **increases Arezzo & Co's pricing power**, a great advantage in tough macro scenarios.

Inflation x companies' revenue sales variation (%)

A diversified channels mix and a high social class consumer portfolio are essential for steady results in difficult times, **as seen in Arezzo&Co's 2020 performance**, while that of other companies' severely declined. However, Soma also showed great pricing power in 2021.



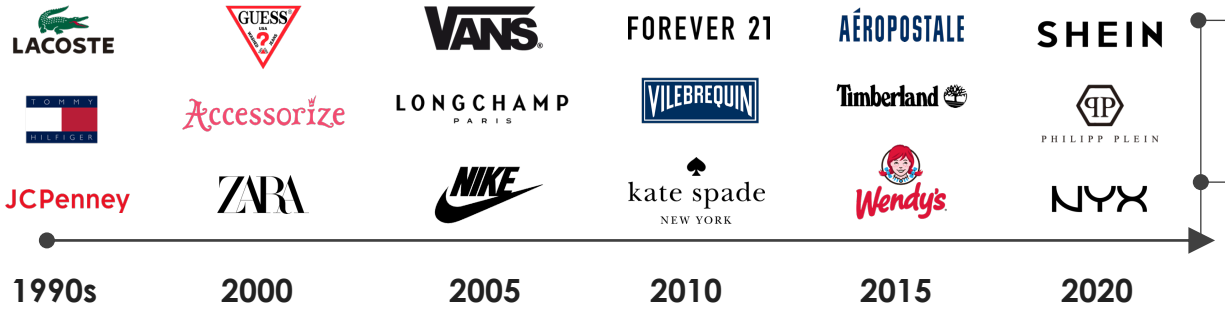
Sources: Companies, IBGE

Do Brazilians still seek consumption from abroad?

The fiscal and monetary conditions pose a challenge for **international companies** to succeed in Brazil. A shift can be seen from the popularization of international brands to the romantization of local brands along with the new **social-conscious generation**.

International brands have entered Brazil in the last 30 years, but due to **regulations** and tax barriers, Brazil is one of the most expensive countries to buy apparel, making many foreign players **shut down** operations and a small number stay and have significant performance.

Timeline of brands that entered the brazilian market



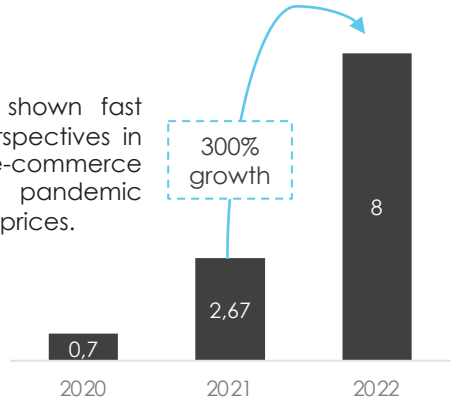
Only about **27% of brands** that entered Brazil have **stayed**.

Even so, most **brands** don't signify a real **threat** to brazilian companies, with exceptions:

ZARA SHEIN

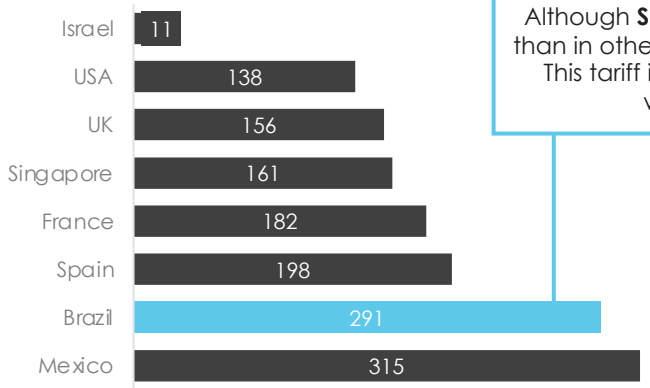
Shein's revenue (BRL bn) in Brazil

Shein has shown fast growth perspectives in Brazil via e-commerce after the pandemic due to low prices.



High **import tarrifs** in Brazil create a strong barrier against foreign companies, making them **less competitive**, unless they have Brazilian links.

Shein prices (US$) PPP adjusted

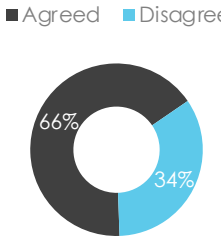


Although **Shein** has low prices, they pay more in Brazil than in other countries due to the ~32% of import tariffs. This tariff is even higher for importing shoes (~35%), which leads to low competitivity.

While in Zara, prices are on average 2% higher in Brazil than in the USA, but has been cheaper at times, due to greater flexibility since Zara Brazil has joined a native company.

Also, it seems **A class social-conscious** customers have some controversy when it comes to brands like Shein, which drives them to **national** brands.

When customers were asked about whether they give preference to ESG initiatives in brands:



"Fast fashion is like fast food. After the sugar rush, it just leaves a bad taste in your mouth." ~ Livia Furth

Shein: 2.6/5 | **Reviews** | **Arezzo & Co.: 4.1/5**

SHEIN ZARA → AREZZO&CO + soma

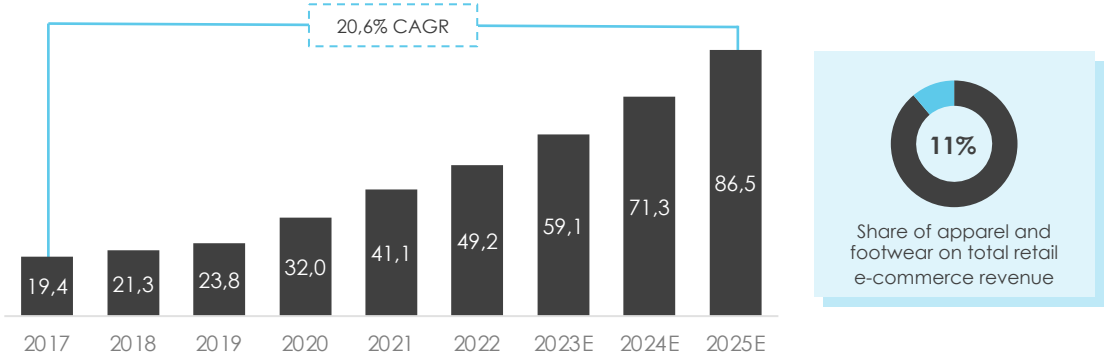
Sources: Statistica, Companies, Sitejabber, Eco-Age

E-commerce really is the future

A major trend in the whole world, e-commerce has come to make a change. With the Covid-19 pandemic, this tendency was accelerated even more due to lockdowns. **E-commerce should continue growing at a fast pace in Brazil** as the country should catch up to more developed markets.

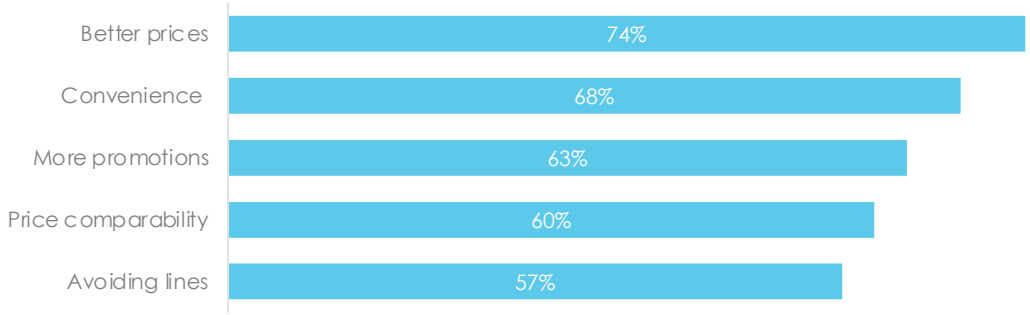
E-commerce was already growing at a fast rhythm until 2019, but **the pandemic boosted this trend considerably**…

Total retail e-commerce revenue in Brazil (USD bn)



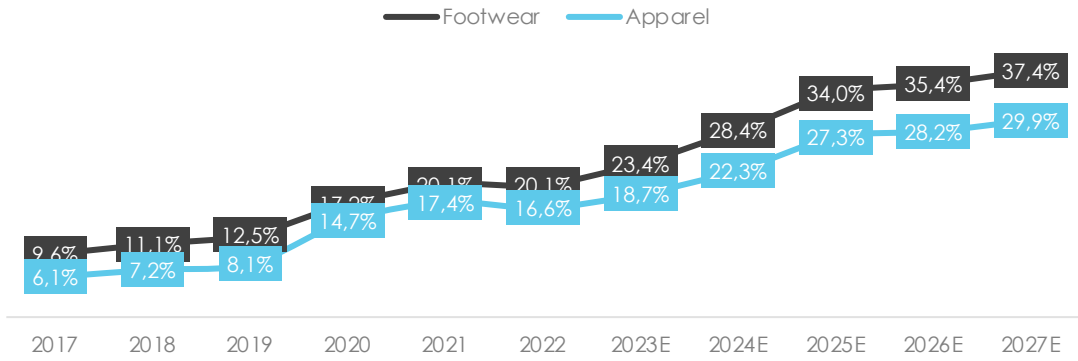
… as **people were locked at their homes** and got to know the advantadges of buying online.

Main reasons for buying online (%)

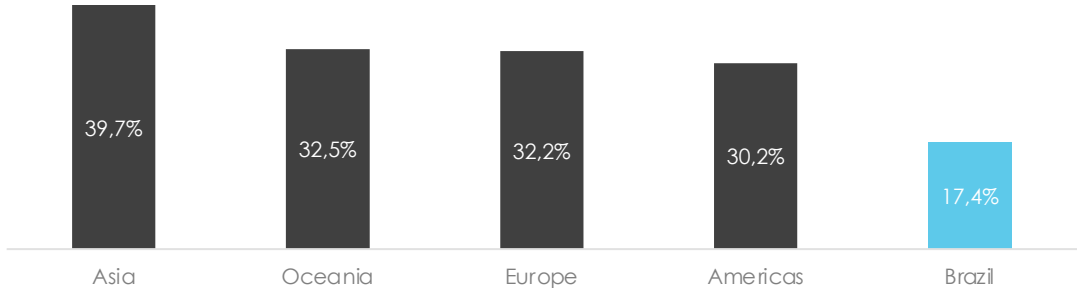


Consequently, the **share of e-commerce in total sales has more than dodoubled**. Yet compared to more developed markets, **Brazil still has a long way to go**, which reflects in optimistic projections.

Online sales share of total sales in Brazil (%)



Fashion e-commerce penetration by region (%)



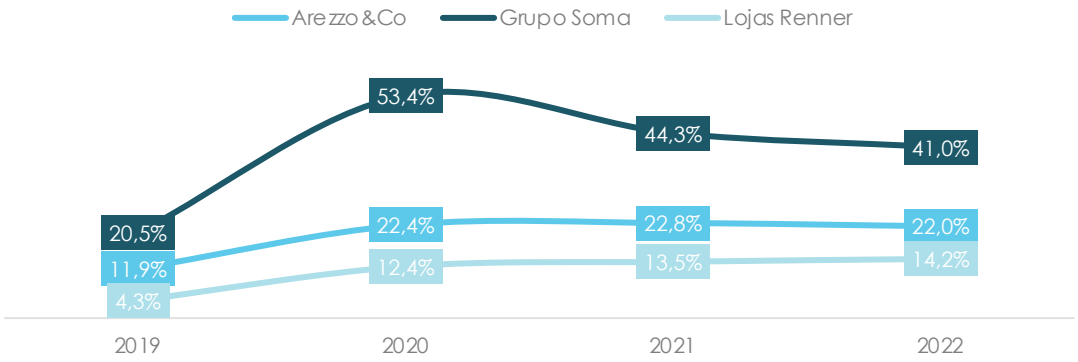
Sources: IBGE, Sebrae, Statista

Strategy and opportunities in the digital channel

The major apparel and footwear brands have realized the potential of e-commerce and have been investing in it's expansion. **Omnichannel has been gaining importance** in all fashion segments, and **the use of digital influencers has become more and more strategic.**

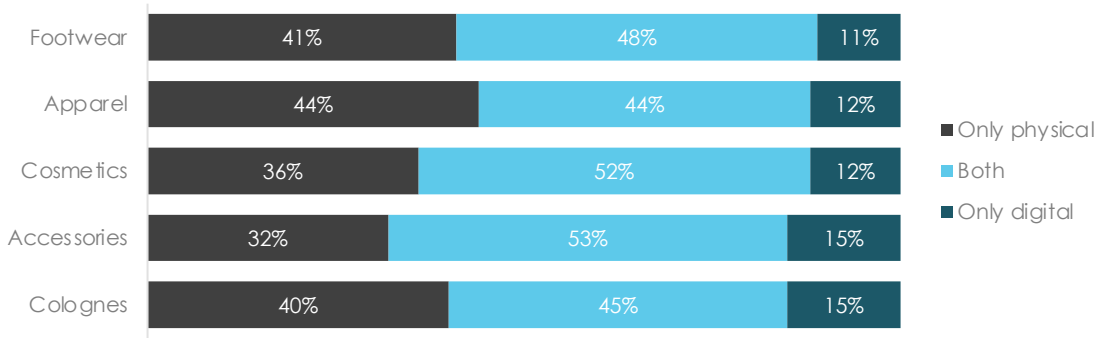
Apparel and footwear **retailers saw e-commerce as a big opportunity ahead** and have been investing in its expansion.

E-commerce penetration by company (%)



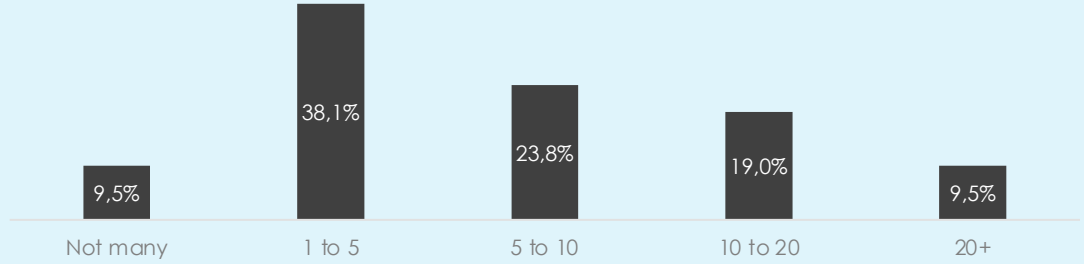
Omni has become the favourite channel for most users, buying both online and in physical stores, which is reflected in apparel and footwear sales.

Customer's preferred channels (%)

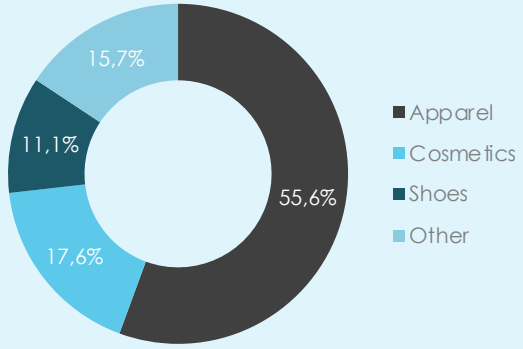


What has been gaining a lot of popularity in digital fashion retail is the **use of influencers to promote products**. In a study made by UFT, in which women between ages 16 and 35 were interviewed, **72,7% said to have bought fashion products after being indicated by influencers**, and all of them followed at least one on social media apps.

How many influencers the interviewed followed (%)



Main products bought via influencers (%)



Apparel and footwear are between the products that most enjoy the support of digital influencers, which creates a **great opportunity for the main fashion brands** to promote their products.

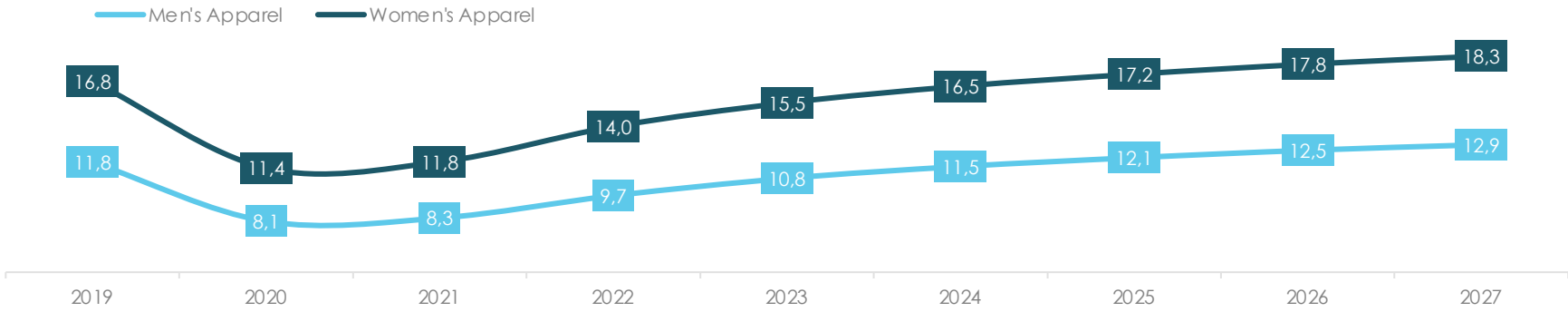
Sources: companies, Globo MindMiners, UFT

Men's apparel: a gold mine to be uncovered

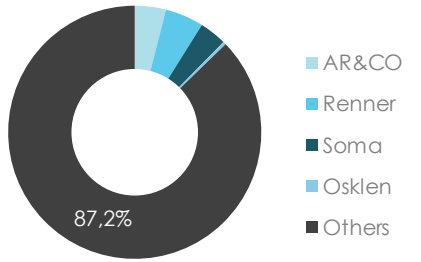
Great opportunities lie in the men's apparel segment. Being extremely fragmented and with higher average tickets, the companies that consolidate in the market shall find **a fruitful operation and with lots of space for expansion.**

The men's and women's apparel market should continue expanding and recovering from the pandemic. However, specifically in **the men's apparel market, there will still be a huge space for consolidation**, as the market is extremely fragmented.

Market size (USD bn)

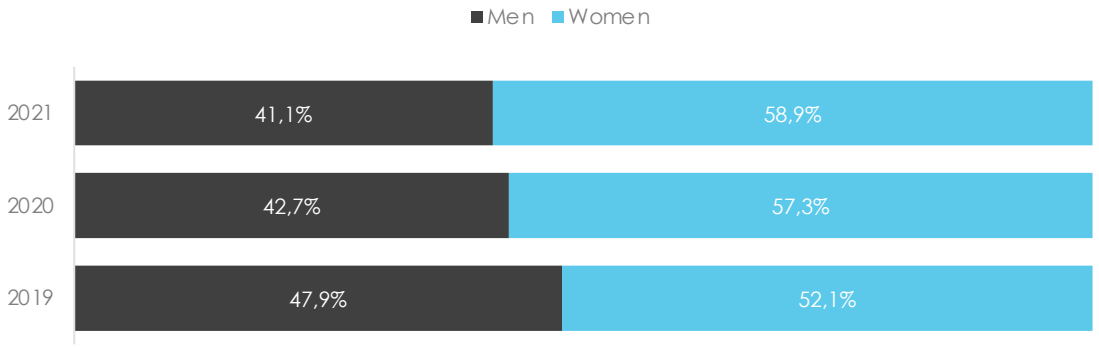


Men's apparel market share (%)

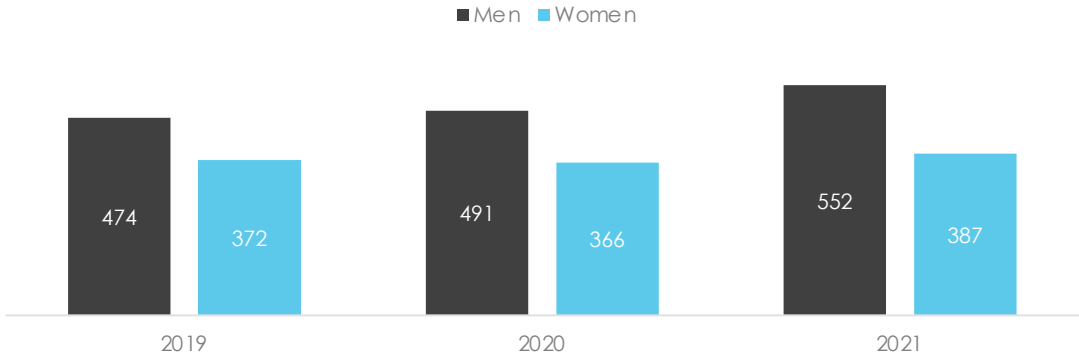


Another factor that should boost even more the men's apparel market is the fact that, even though they represent the smaller share of total shopping, **they spend more, on average, every time they buy.**

Distribution of online checkouts by gender (%)



Average value of online checkouts by gender (BRL)



Sources: Statista, companies, Abvtex, team estimates

Less is more, green is best

Between the main trends in fashion is **casuzaliation and eco-conscious consumption.** Both are tendencies that were boosted by the various effects of the pandemics that are **here to stay.**

A trend that was magnified by the pandemic is casualization, as people didn't want to abandon casual clothes from home office times.

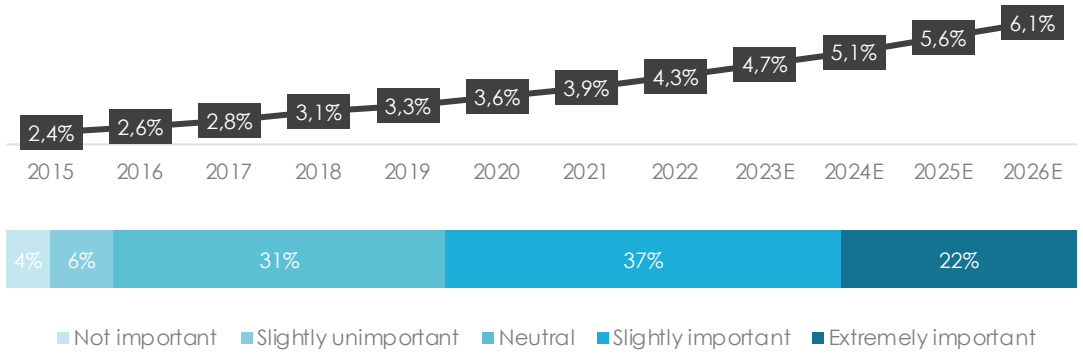
Google trends: searches for "Business casual"



According to State of Fashion, **65%** of men plan on buying more casual clothes

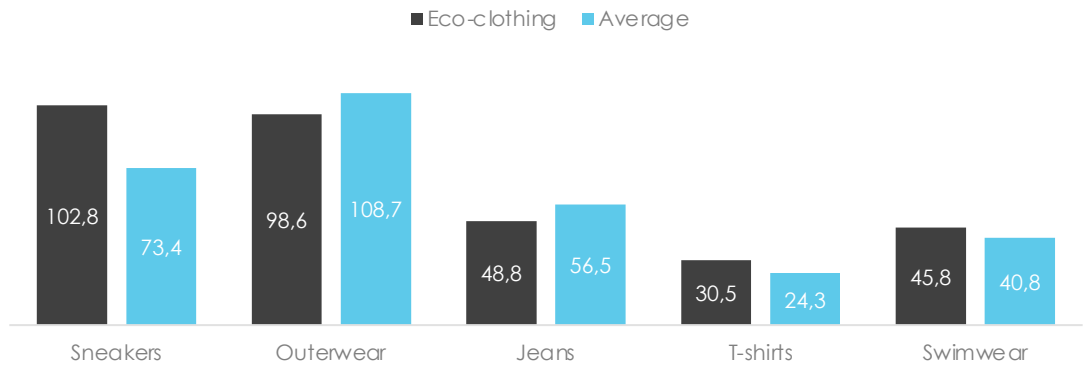
Sustainability also has gained importance over years, as people began to care about their social and environmental impacts.

Share of sustainable clothing (%), importance consumers give to sustainability (%)



Prices tend to be higher in sustainable clothing, which **increases the average ticket, but constrains demand for this niche**, as pricing is an important factor to consumers when buying clothing.

Average prices per category (USD)



Decisive factors when buying new clothes (%)



Pricing is between the most important aspects at the consumer's decision, which curbs demand for expensive sustanable products. However, quality and sustainability still play an important role, especially in higher social classes.

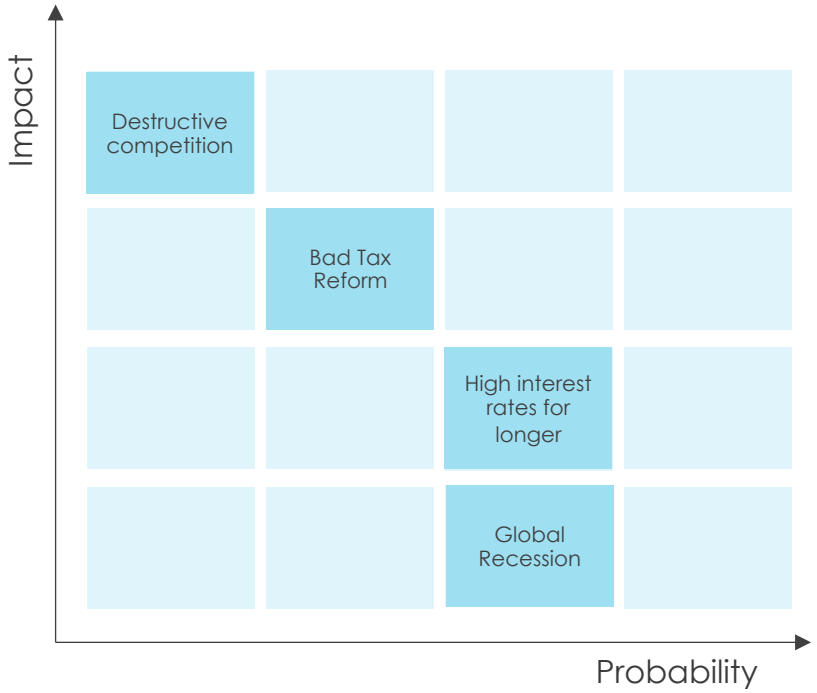
Sources: Google trends, Statista

But what could go wrong?

The current **macro environment** presents innumerous **unanswered questions** and for a segment that is highly correlated with **discretionary consumption**, those questions are **crucial** for any investment thesis.

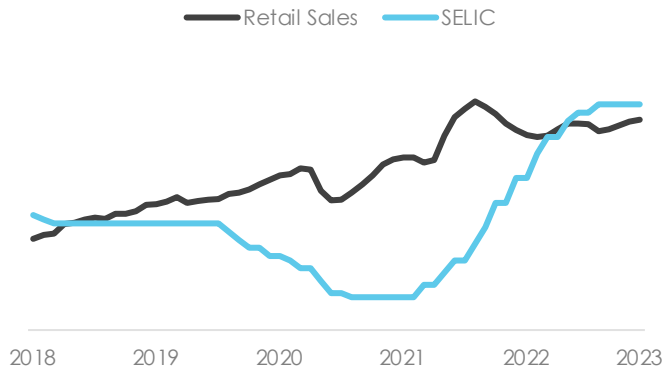
We see four main risks to the fashion industry and categorized those in a probability impact matrix.

The ones that we see the biggest possible impact are a **destructive competition** in the apparel segment triggered by SHEIN's entrance and a **tax reform** that may extinguish some important ICMS benefits that the sector currently relies on.



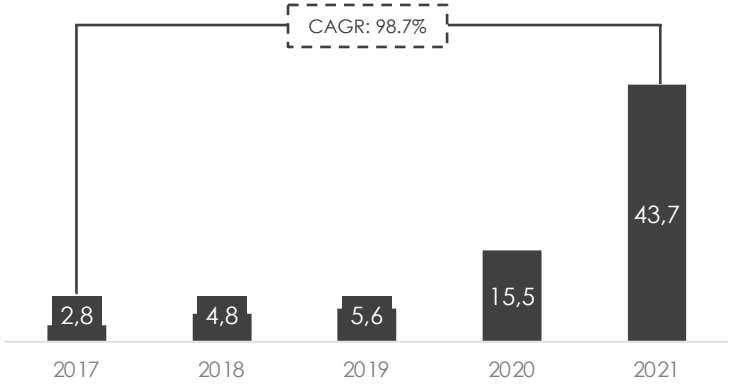
The **high interest rates are holding consumption** and could hurt long term consumer confidence.

Impact of SELIC on Retail



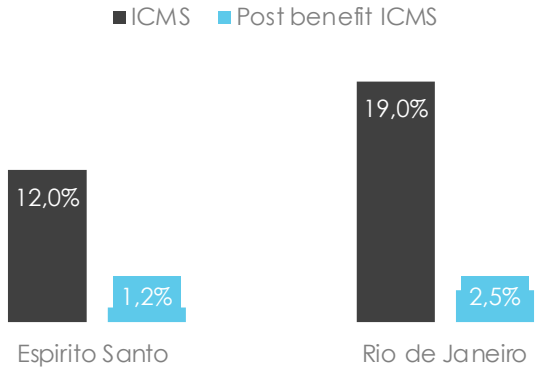
Shein is growing exponentially, but the **competitive scenario** is still **mutualistic on A/B clusters.**

Shein Users (Mn)

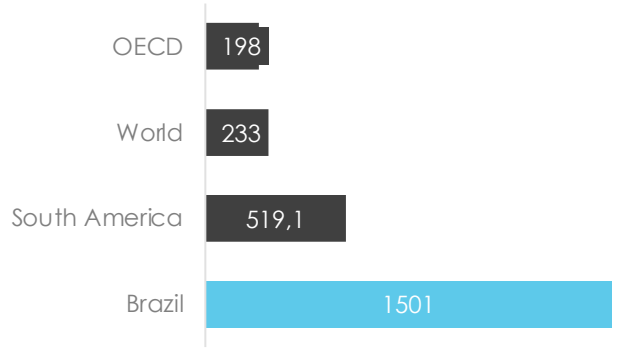


Brazil's **complex tax system** is a main **barrier to the entrance of foreign competition**, and there are **fiscal benefits** with which local companies operate. However, **the upcoming tax reform might bring this down**.

Apparel and Shoes Sales Tax incentives



Hours to fulfill tax obligations



Sources: Company, Statista, World Bank